



U.S. Customs and Border Protection

PUBLIC VERSION

December 18, 2025

Daffodil Pharmachem Private Limited
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Austin, TX 78735-8986
logistics@daffodilpharma.com

Re: Notice of Initiation of Investigation and Interim Measures - EAPA Case 8224

To the Representatives of the Above-Referenced Entity:

This letter is to inform you that U.S. Customs and Border Protection (CBP) has commenced a formal investigation under Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015, commonly referred to as the Enforce and Protect Act (EAPA), against importer Daffodil Pharmachem Private Limited (the Importer). CBP is investigating whether the Importer evaded antidumping (AD) and countervailing (CVD) duty orders A-570-937 and C-570-938 on citric acid and certain citrate salts (CACCS or covered merchandise) from the People's Republic of China (China).¹ CBP finds that reasonable suspicion exists that the Importer entered covered merchandise into the customs territory of the United States through evasion; therefore, CBP has imposed interim measures.²

Period of Investigation

Pursuant to 19 C.F.R. § 165.2, entries covered by an EAPA investigation are “those entries of allegedly covered merchandise made within one year before the receipt of an allegation....” Entry is defined as an “entry, or withdrawal from warehouse for consumption, of merchandise into the customs territory of the United States.”³ CBP acknowledged receipt⁴ of the properly filed Request for Investigation by the Department of Commerce (Commerce) on September 25, 2025, against the Importer.⁵ Accordingly, the entries covered by this investigation are those

¹ See Request for Investigation at 1, citing *Citric Acid and Certain Citrate Salts from Canada and the People's Republic of China: Antidumping Duty Orders*, 74 FR 25703 (May 29, 2009); see also *Citric Acid and Certain Citrate Salts from the People's Republic of China: Notice of Countervailing Duty Order*, 74 FR 25705 (May 29, 2009) (collectively, the *Orders*).

² See 19 U.S.C. § 1517(e); see also 19 C.F.R. § 165.24.

³ See 19 U.S.C. § 1517(a)(4); see also 19 C.F.R. § 165.1.

⁴ See Email from CBP, “EAPA Case 8224: Receipt of Properly Filed Request for Investigation,” dated September 25, 2025. With respect to requests received from other federal agencies, 19 C.F.R. § 165.14(c) provides that “{t}he date of receipt is the date that CBP transmits notice of the assigned control number to the Federal agency that filed the request.”

⁵ 19 C.F.R. § 165.14(a) provides that “{a}ny other Federal agency, including but not limited to the Department of Commerce or the United States International Trade Commission, may request an investigation under this part.”

entered for consumption, or withdrawn from warehouse for consumption, from September 25, 2024, through the pendency of this investigation.⁶

Initiation

CBP will initiate an investigation if it determines that “{t}he information provided in the Request for Investigation ... reasonably suggests that the covered merchandise has been entered for consumption into the customs territory of the United States through evasion...”⁷ Evasion is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the covered merchandise.”⁸ Thus, an allegation must reasonably suggest not only that an importer alleged to be evading entered merchandise subject to an AD and/or CVD order into the United States,⁹ but also that such entry was made by a material false statement or act, or material omission, that resulted in the reduction or avoidance of applicable AD and/or CVD cash deposits or other security.

On September 3, 2025, Commerce submitted a Request for Investigation regarding alleged evasion of the *Orders* by the Importer.¹⁰ The Request for Investigation asserts that the Importer evaded the *Orders* by importing Chinese-origin CACCS *via* India into the United States, declaring the merchandise falsely as Indian in origin, and failing to declare the merchandise as country of origin China, thus covered by the *Orders*, at the time of entry.¹¹

Description of the Alleged Evasion Scheme and Supporting Evidence

Commerce alleged that the Importer’s [description] Indian supplier [Name] purchased covered citric acid that was produced in and exported from China.¹² Commerce stated that [Name] then processed the citric acid into sodium citrate in India, and the Importer imported the sodium citrate as country-of-origin India, thereby evading payment of the AD/CVD duties.¹³ Commerce noted that the Indian exporter does not have its own company-specific cash deposit rate for imports of citric acid and sodium citrate from China; thus, the merchandise would be subject to the China-wide all others rates for the *Orders*.¹⁴

⁶ See 19 C.F.R. § 165.2.

⁷ See 19 C.F.R. § 165.15(b)(2); *see also* 19 U.S.C. § 1517(b)(1).

⁸ See 19 C.F.R. § 165.1; *see also* 19 U.S.C. § 1517(a)(5)(A).

⁹ See 19 C.F.R. § 165.1, defining “covered merchandise.”

¹⁰ See Letter from Commerce, “Request for an Investigation under the Enforce and Protect Act: Daffodil Pharmachem Private Limited,” dated September 3, 2025 (Request for Investigation).

¹¹ See Request for Investigation.

¹² *Id.* at 1.

¹³ *Id.* at 2.

¹⁴ *Id.*

The scope of the *Orders*:¹⁵

Includes all grades and granulation sizes of citric acid, sodium citrate, and potassium citrate in their unblended forms, whether dry or in solution, and regardless of packaging type. The scope also includes blends of citric acid, sodium citrate, and potassium citrate; as well as blends with other ingredients, such as sugar, where the unblended form(s) of citric acid, sodium citrate, and potassium citrate constitute 40 percent or more, by weight, of the blend. The scope of these orders also includes all forms of crude calcium citrate, including dicalcium citrate monohydrate, and tricalcium citrate tetrahydrate, which are intermediate products in the production of citric acid, sodium citrate, and potassium citrate.

The scope of these orders does not include calcium citrate that satisfies the standards set forth in the United States Pharmacopeia and has been mixed with a functional excipient, such as dextrose or starch, where the excipient constitutes at least 2 percent, by weight, of the product. The scope of these orders includes the hydrous and anhydrous forms of citric acid, the dihydrate and anhydrous forms of sodium citrate, otherwise known as citric acid sodium salt, and the monohydrate and monopotassium forms of potassium citrate. Sodium citrate also includes both trisodium citrate and monosodium citrate, which are also known as citric acid trisodium salt and citric acid monosodium salt, respectively.¹⁶

Commerce stated that in 2018, CBP investigated entries of citric acid that were imported by Posy Pharmachem Private Limited (Posy) and determined that the entries were country of origin China instead of Posy's reported country of origin India.¹⁷ Subsequent to CBP's action, in 2019, Posy changed its name to India Daffodil Pharmachem and increased its imports of sodium citrate to the United States using HTS numbers 2918.15.10 and 2918.15.50 and claiming country of origin India.¹⁸

Commerce stated that S&P Global PIERs manifest (PIERS) data show that over 90 percent of India's imports of citric acid come from China.¹⁹ Accordingly, [[Name](#)] is the third-largest importer of Chinese citric acid in India,²⁰ and over the last five years almost all (97 percent) of [[Name](#)] imports of citric acid were from China.²¹

¹⁵ See the *Orders*.

¹⁶ See *Request for Investigation* at 3.

¹⁷ *Id.* at 3.

¹⁸ *Id.* at 3 and Exhibit 1.

¹⁹ *Id.* at 3.

²⁰ *Id.* at 3 and Exhibit 2.

²¹ *Id.*

Initiation Assessment

In assessing the claims made and evidence provided in Commerce’s letter of Request for Investigation, EAPA found that information provided reasonably suggested that the Importer engaged in evasion of AD/CVD duties on CACCS. Specifically, the PIERS trade data indicates that [Name] imported a significant quantity of citric acid, around 33 million kilograms from various suppliers in China, into India between 2020 and 2025.²² In addition, CBP trade data indicates that the Importer imported to the United States around [Quantity] kilograms of sodium citrate from India for the same time period, 2020 to 2025.²³ The quantity of the importer’s sodium citrate imports into the United States closely aligns with the amount of citric acid that [Name] imported into India from China, with the citric acid imports to India representing a [volume] than the sodium citrate imports to the United States.²⁴ As the scope states, both citric acid and sodium citrate are covered by the *Orders*, as well as blends of citric acid and sodium citrate.

As a result, on October 17, 2025, CBP initiated an investigation²⁵ under the authority of 19 U.S.C. § 1517(b)(1) on the Importer’s entries of covered merchandise that are alleged to be entered for consumption into the customs territory of the United States through evasion.²⁶

Interim Measures

Not later than 90 calendar days, EAPA will decide based on the record of the investigation if there is reasonable suspicion that merchandise covered by the *Orders* was entered into the United States through evasion.²⁷ CBP need only have sufficient evidence to support a reasonable suspicion that the importer alleged to be evading entered merchandise covered by an AD or CVD order into the United States, by a materially false statement or act, or material omission that resulted in the reduction or avoidance of applicable AD or CVD cash deposits or other security.²⁸ If reasonable suspicion exists, CBP will impose interim measures pursuant to 19 U.S.C. § 1517(e) and 19 C.F.R. § 165.24. As explained below, CBP is implementing interim measures because reasonable suspicion exist that the Importer entered covered merchandise into the United States through evasion by illicit transshipment of Chinese-origin CACCS covered by the *Orders* through India and then falsely declared the merchandise as Indian-origin rather Chinese-origin upon entry to the United States.²⁹

²² *Id.* at Exhibit 2.

²³ *Id.* at Exhibit 1.

²⁴ *Id.* at Exhibit 1 and Exhibit 2.

²⁵ See CBP Memorandum to the File, “Initiation of Investigation for EAPA Case 8224 - Daffodil Pharmachem Private Limited,” dated October 17, 2025.

²⁶ See also 19 C.F.R. § 165.15.

²⁷ See 19 C.F.R. § 165.24(a).

²⁸ See 19 C.F.R. § 165.1, defining “Evade or Evasion.”

²⁹ See 19 C.F.R. § 165.24(a).

Analysis

CBP used its available trade data tools to validate the U.S. import shipment data and confirmed Commerce's claim that [Name] supplied CACCS to the Importer, which then entered CACCS from [Name] into the United States, during the POI.³⁰ CBP also obtained trade data from Panjiva, which showed [Name] imported CACCS from various suppliers in China into India as recently as 2025, in addition to earlier in the POI.³¹ CBP also confirmed Commerce's statement that CBP had determined in the past that Posy imported citric acid that should have been declared as Chinese in origin.³² Finally, according to its website, [Name] produces CACCS in India.³³

Therefore, after validating claims in the Request for Information, CBP finds that reasonable suspicion exists that the Importer engaged in evasion of the *Orders* by claiming country of origin India for imports of CACCS from [Name] rather than Chinese-origin CACCS. As a result, the Importer failed to pay the applicable cash deposits on those entries of goods.

Enactment of Interim Measures

Based on the record evidence described above, CBP determines that reasonable suspicion exists that the Importer imported CACCS into the United States from China through India, which should have been declared as country of origin China and should have been subject to the *Orders*. Therefore, CBP is imposing interim measures pursuant to this investigation. Specifically, in accordance with 19 U.S.C. § 1517(e), CBP shall:

- (1) suspend the liquidation of each unliquidated entry of such covered merchandise that entered on or after October 17, 2025, the date of the initiation of the investigation;
- (2) pursuant to the Commissioner's authority under 19 U.S.C. § 1504(b), extend the period for liquidating each unliquidated entry of such covered merchandise that entered before the date of the initiation of the investigation on October 17, 2025; and
- (3) pursuant to the Commissioner's authority under 19 U.S.C. § 1623, take such additional measures as the Commissioner determines necessary to protect the revenue of the United States, including requiring a single transaction bond or additional security or the posting of a cash deposit with respect to such covered merchandise.³⁴

In addition, CBP will require live entry and reject any entry summaries that do not comply with live entry and require refiling of entries that are within the entry summary rejection period.³⁵

³⁰ See CBP Post Receipt Report, dated September 17, 2025.

³¹ See CBP Memorandum to the File, "Supplemental Information to the Administrative Record of EAPA Case 8224," dated December 17, 2025 (CBP's December 17th Memo) at Attachment 1.

³² See *TR International Trading Company v. United States, et al.*, Court No. 19-00022, Slip Op. 20-34 (CIT, March 16, 2020).

³³ See CBP's December 17th Memo at Attachment 2.

³⁴ See also 19 C.F.R. § 165.24(b)(1).

³⁵ See 19 U.S.C. § 1517(e)(3).

CBP may also evaluate the importer's continuous bonds to determine their sufficiency.³⁶ Finally, CBP may pursue additional enforcement actions, as provided by law, consistent with 19 U.S.C. § 1517(h).

For future submissions or factual information that you submit to CBP pursuant to this EAPA investigation, please provide a business confidential version and public version, with public summaries, to CBP *via* the EAPA Portal (also known as the EAPA case management system (CMS)): <https://eapallegations.cbp.gov>.³⁷ Documents uploaded to the CMS will constitute service on the parties to this investigation,³⁸ and all administrative record documents will be available *via* the CMS. Please note that CBP requires that all documents submitted *via* the CMS are made text searchable, especially if those documents are submitted as PDFs.

Should you have any questions regarding this investigation, please feel free to contact us at eapallegations@cbp.dhs.gov, somboun.dauble@cbp.dhs.gov, and patricia.tran@cbp.dhs.gov. Please include "EAPA Case 8224" in the subject line of your email. Additional information on the investigation, including the applicable statute and regulations, may be found on CBP's website at: <https://www.cbp.gov/trade/eapa>.

Sincerely,



for Victoria Cho

Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
Office of Trade

³⁶ *Id.*

³⁷ You will need a login name and password to use the CMS. The website will direct you how to obtain those.

³⁸ See 19 C.F.R. § 165.4; *see also* 19 C.F.R. § 165.23(c) and 19 C.F.R. § 165.26.